

Monitoring Turkey: Geopolitics compounds macro challenges

The economic implications of recent geopolitical developments in Turkey will be determined by the extent and duration of the shock. Despite rising challenges in the current environment, policymakers are signalling no significant changes in policy priorities, including price stability, fiscal discipline and a sustainable current account balance



Istanbul, Turkey. We expect USD/TRY to remain on a stable trajectory up to 46.6 by mid-year

Turkey's economy at a glance

- After a turbulent reaction in March – marked by wider sovereign spreads, higher bond yields, significant pressure on equities and a rise in offshore rates – markets have staged a relief rally following the ceasefire announcement. Still, optimism remains cautious, with US Iran negotiations looking fragile. Against this backdrop, Turkey's CDS risk premium, which had climbed above 300bp to a nine month high, has eased back to below 240bp.
- The uncertainty surrounding oil prices, which also affects other commodity prices, increases risks to the inflation outlook despite the decision to absorb some of the oil price shock via adjusting tax on petrol prices. Trying to find a balance between disinflation and fiscal performance, on the other hand, the government has raised electricity and natural gas prices. We have now revised our inflation forecast for this year to 27.5% from 25.5%, with

risks tilted to the upside as the war is likely to further complicate the already challenging inflation outlook, not only via higher energy costs in addition to petrochemicals, refined products, but also expectations and the fiscal balance.

- Budget results from the first two months of the year point to a more favourable trend than year-end projections and provide significant room to mitigate part of the inflation risk with the 12M rolling budget deficit at 2.4% of GDP. While a sliding scale tariff mechanism in fuel prices (envisaged to offset 75% of the pass-through from international oil prices and implying a support until US\$105-110 per barrel in the current exchange rate level) increases the budget deficit up to 0.6% of GDP, likely moderation in domestic demand with tightening financial conditions may lead to further upside risks to the budget deficit. An increase in the threshold to 100% and maintaining the support for longer can also increase the fiscal costs.
- On the external front, the geopolitical developments will increase the upside pressures given the elevated trajectory of oil and gas prices, in addition to a potential decline in tourism revenues and a rise in gold imports. A US\$10 increase in Brent crude oil will likely result in a US\$4-5bn rise in the current account, implying a strong sensitivity to energy prices. We expect around US\$54bn (3.1% of GDP) for 2026, according to ING's baseline oil scenario.
- Growth will likely be under pressure due to tighter financial conditions and the negative contribution from net exports. So, we have revised our 2026 growth forecast from 3.4% to 3.0%, while risks remain on the downside.
- Since the end of Feb, we have seen US\$9.6bn outflows in bond and equity markets, plus an unwinding of more than US\$21bn in carry trade positions. Prolonged uncertainty would certainly threaten more portfolio outflows, though the ceasefire has currently provided relief. On the flip side, Turkish residents have remained subdued without any meaningful change in FX deposits (after adjusting for gold and EUR/USD price changes). And there has been no big pick-up in demand for FX mutual funds either. Accordingly, foreign outflows and the lower gold price have been the drivers of the decline in the CBT's FX reserves. The central bank's net reserve position (excluding FX swaps) fell from US\$78.6bn to around US\$18.3bn by 3 April. Losses in the CBT's foreign exchange reserves have come to a halt, while preliminary data point to an improvement supported by the Bank's FX swap operations with domestic banks and some reversal in capital flows.
- Against this backdrop, we expect that the CBT will leave both the policy rate and the corridor framework unchanged at the April MPC meeting. Nonetheless, ongoing geopolitical uncertainty may encourage a more cautious approach, potentially leading to an adjustment of the policy rate from 37% to the current effective funding rate of approximately 40%.

Quarterly forecasts

	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F
Real GDP (%YoY)	3.4	3.5	3.2	2.8	2.6	2.9	3.9	4.1
CPI (eop, %YoY)	30.9	30.9	30.8	28.2	27.5	23.9	21.2	19.6
Central bank key rate (eop, %)	38.00	37.00	37.00	35.00	33.00	30.00	27.00	25.00
3m interest rate (eop, %)	40.10	47.18	39.61	35.55	32.69	29.75	26.42	24.15
10yr yield (eop, %)	28.89	33.51	27.17	26.27	26.12	24.88	22.44	21.62
USD/TRY exchange rate (eop)	42.94	44.42	46.59	49.10	52.00	54.05	56.06	58.05
EUR/TRY exchange rate (eop)	50.45	51.35	54.04	57.93	62.40	65.94	68.39	70.82

Source: Various sources, ING

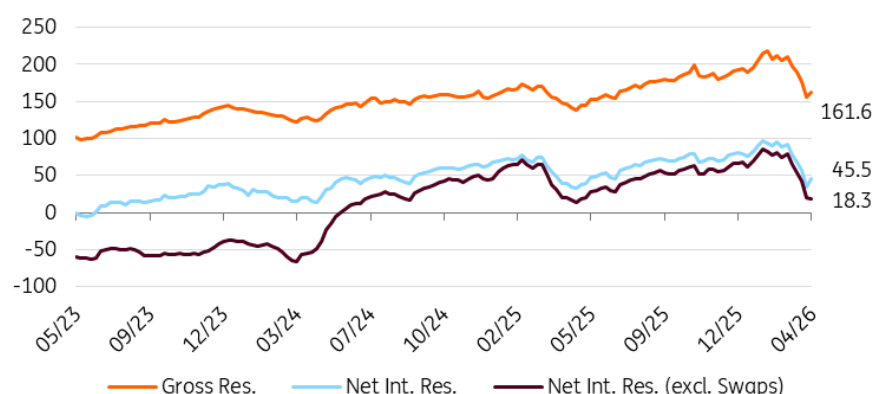
FX and rates outlook

Similar to the rest of the EM space, we have seen some relief in Turkey following signs of de-escalation in the US-Iran conflict. This suggests that the worst of the US-Iran conflict should be over, and the central bank has been relatively untroubled in maintaining market confidence and a stable USD/TRY trajectory. This has been helped by significant rhetorical activity from officials in recent weeks.

The TRY market has navigated the US-Iran conflict by significantly reducing long positions, which have been cut approximately in half. Additionally, CBT FX reserves declined from a peak of US\$210bn to about US\$161bn, reflecting the broader sell-off in global gold markets. However, recent market data suggests a resumption of long positions in TRY, which is in line with improving global sentiment. Overall, we expect USD/TRY to remain on a stable trajectory up to 46.6 by mid-year and the market will gradually resume long carry trades in TRY.

In the rates market, we saw a peak 1y OIS around 40.50% in late March and early April and have since seen some relief to the current 38.00%. Market pricing CBT rates for year-end have stabilised somewhere around 35.50%. This is not too far from our forecast of 33.00% for year-end and seems justified given the still upside inflation risks in our forecast and Turkey's openness to the US-Iran conflict in the event of a new escalation.

CBT Reserves (US\$ bn)



Source: CBT, ING

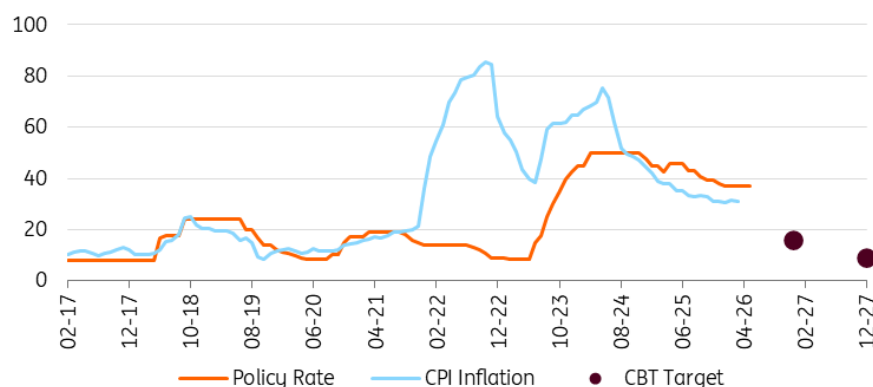
Benign food prices prompt a positive inflation surprise in March

Monthly inflation in March stood at 1.94%, lower than market consensus, while annual inflation resumed a downtrend with a fall to 30.9% (vs the CBT's target at 16% and forecast range between 15-21% in the latest inflation report) from 31.5% a month ago. Food was the key driver for the positive surprise in the headline reading, though pricing pressures in energy have unsurprisingly increased with the geopolitical shock. Seasonally adjusted data, published by TurkStat and closely monitored by the Central Bank of Turkey, indicate in three-month moving average terms that the underlying inflation trend is still high above of 2%, while core inflation shows a further uptick, implying challenges to disinflation in the current environment.

Core inflation (CPI-C) rose by 1.64% MoM, leading to an increase in the annual rate to 29.7%, while the currency managed by the central bank with modest nominal TRY depreciation in recent months limited the increase. In March, PPI stood at 2.3% MoM, moving up to 28.1% YoY, after

floating at 27-28% in the previous five months. In addition to food products, coke & refined petroleum products, chemicals, and basic metals were the major drivers in the March PPI increase, likely reflecting the impact of the Gulf War on some industrial materials. Global commodity prices and particularly oil prices in the current geopolitical backdrop will remain the key risk factors to the PPI trend in the near term.

Inflation expectations and CBT forecast (12m- ahead, YoY%)



Source: TurkStat, CBT, ING

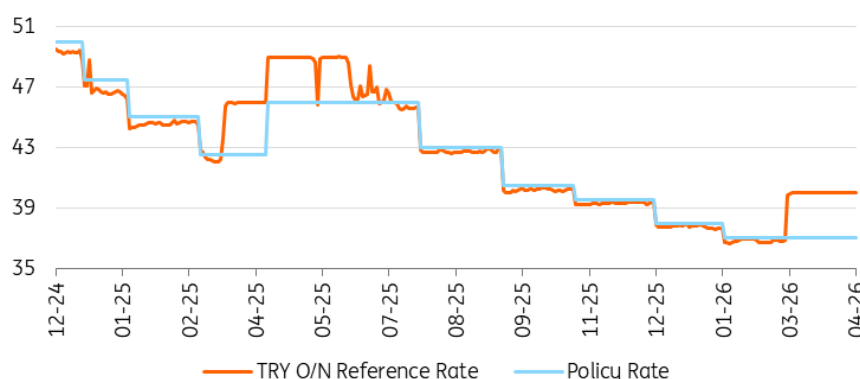
The CBT shifts away from easing bias

At its latest rate setting meeting, the Central Bank of Turkey (CBT) maintained its policy rate unchanged, as widely expected. The Bank left the one week repo rate at 37%, and the interest rate corridor stable at 450 basis points, with the upper and lower bands remaining at 40% and 35.5%, respectively.

The statement signalled a shift away from the easing stance observed previously as the Bank revised its message that “monetary decisions” would be determined with a prudent approach on a meeting-by-meeting basis instead of “the size of the steps”, and that monetary policy will be tightened if there is a significant deterioration in the inflation outlook but removed the prior emphasis on “deviations from interim targets” as a condition for additional tightening.

In addition, the Bank specified that a tightening would require not only significant but also persistent deterioration in the inflation outlook, implying a willingness to tolerate temporary effects from recent developments. These suggest that, in the near term, the CBT will adopt a wait and see approach before deciding whether to reduce the effective cost of funding back toward the policy rate or introduce additional tightening, as referenced in the statement.

The policy rate vs. interbank O/N rate



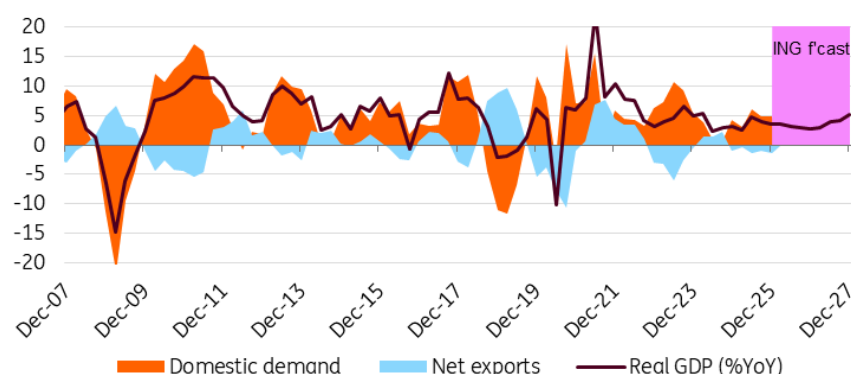
Source: CBT, Bloomberg, ING

Downside GDP risks are growing

In 2025, GDP rose by 3.6% vs 3.3% in 2024, driven mainly by domestic demand. After seasonal adjustment, the fourth quarter GDP alone corresponds to a QoQ increase of 0.4%, indicating a gradual slowdown compared with the preceding two quarters. The sequential performance was driven primarily by private consumption. All other expenditure components pulled the growth rate lower: net exports had the largest negative impact, followed by inventory depletion, government consumption and capital formation.

Activity likely moderated in 1Q as industry, services and construction sectors point to a sluggish outlook. Consumption indicators, on the other hand, show some loss of momentum. Growth will likely be under pressure from March onwards as evidenced by weakening PMI on the back of financial conditions and the negative contribution from net exports. Longer and deeper geopolitical conflict will lead to further pressure on the outlook, while whether the weaker growth will be accepted is also important.

Real GDP (%YoY) and contributions (ppt)



Source: TurkStat, ING

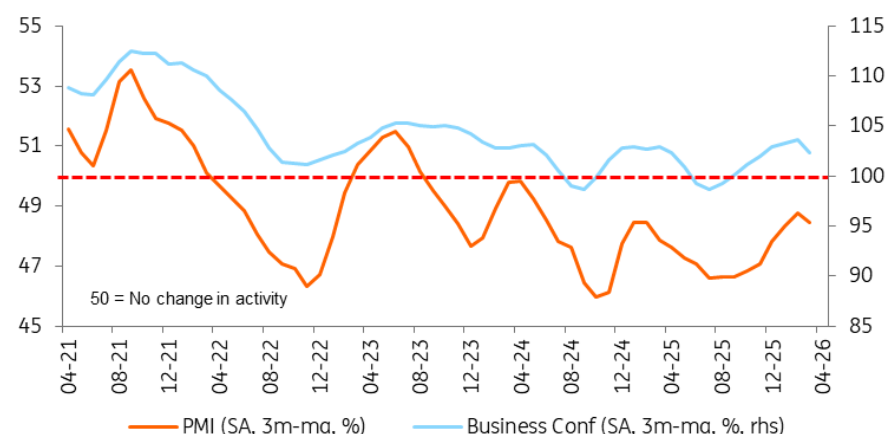
Setback in the March PMI

The manufacturing sector (seasonally adjusted basis) PMI, which has been on an increasing trend since October, and in February hit the highest level since early 2024, dropped in March to 47.9. The

drop from near stabilisation levels to deeper in the negative territory is attributable to the geopolitical shock in the Middle East. Accordingly, we saw an acceleration in the rate of moderation in orders, implying a slowdown in demand, increasing pricing pressures with higher energy costs, and a scale-back in production, employment and purchasing activity.

Findings in the sectoral PMIs, on the other hand, released by the Istanbul Chamber of Industry, showed that seven of 10 sectors recorded a decline in their PMIs in comparison to February, while only two of them positioned above the 50 level.

PMI & Business Confidence



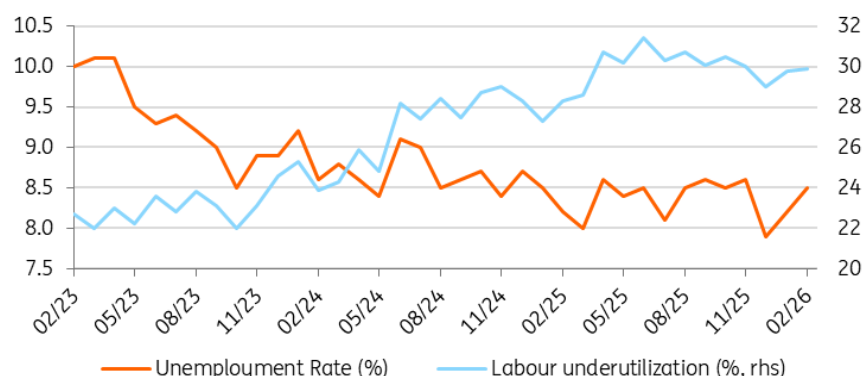
Source: ICI, CBT, ING

Unemployment rate on the rise

The headline unemployment rate (seas. adj.), which plunged in December to the lowest level in the current series starting from 2005, has been gradually increasing over the last two months and reached 8.5% in February vs 8.2% the month before. This is attributable to the employment increase being smaller than the rise in labour force participation and expanding unemployment. Labour force participation, despite an increase over the previous month, has remained weak, standing at 52.6%. The participation rate being below 53% in the last three months – for the first time since mid-2023 – shows ongoing strains in the labour market.

Broadly defined unemployment indicators also appear to be under pressure compared to the previous month. One of the broader unemployment indicators, the underutilisation rate – which combines time-related underemployment, potential labour force, and the unemployed – increased by 0.1 ppt MoM to 29.9%. The NPL pressure that was eased by the regulator's restructuring decisions has been on the rise again lately. This is mainly driven by the commercial segment, particularly SME lending, while the increase in retail loans is rather slow, which is also supported by the collections.

Labor market outlook



Source: TurkStat, ING

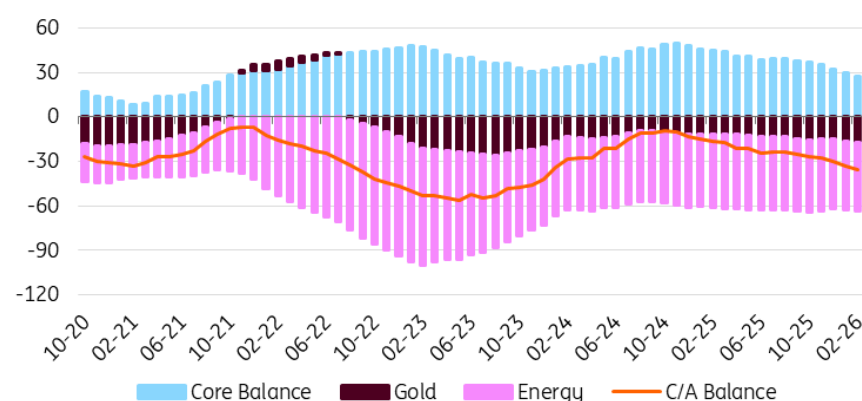
Turkey's current account deficit widens further in February

The current account posted a deficit of US\$7.5bn, higher than the market forecast. Following the data, the 12-month rolling current account deficit maintained the uptrend and reached US\$35.4bn, or approximately 2.4% of GDP, from US\$33.2bn in the previous month. A closer look at the monthly figures shows that the deficit widened by roughly US\$2.3bn compared to the same month of 2025, primarily due to a higher trade gap, which deteriorated from US\$-5.5bn to US\$-7.5bn stemming from the turn of the core trade surplus in 2025 to a deficit and rising gold imports despite a moderation in energy costs. The deterioration in the monthly current account was also driven by a worsening balance in services income.

On the capital account side, inflows lost momentum in February from the largest ever monthly figure in January and stood at US\$3.3bn. With net outflows from errors and omissions of US\$6.5bn (the biggest in the last two years), and considering the current account deficit, official reserves dropped by US\$10.6bn.

Overall, the current account surplus in February exceeded expectations and maintained a widening trend, while weakening capital flows led to financing of the deficit mainly via reserves. Preliminary customs data from the Ministry of Trade suggest continuing deterioration in the March current account, as the foreign trade deficit appears to be widened by more than US\$4.0bn in comparison to last year, likely reflecting the impact of geopolitical developments.

Current account (12M rolling, US\$bn)

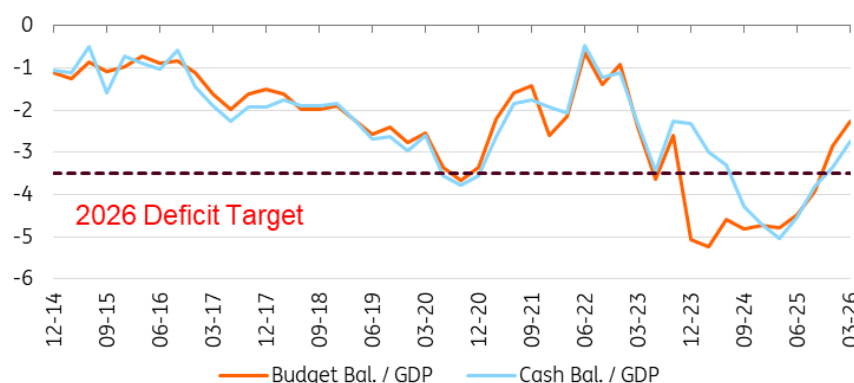


Improvement continues in the March budget

The Central Government Budget recorded a deficit of TRY229.9bn in March, compared with a deficit of TRY261.5bn in the same month last year. A closer look at the breakdown shows that tax revenues increased by 63.9% YoY, driven primarily by a sharp rise in personal income tax collections. Among indirect taxes, VAT revenues rose markedly compared with last year due to a shift in declaration timing, while the annual increase in special consumption tax SCT revenues continued to display a weak trend, also contributed by the reinstated sliding scale tariff mechanism. On the expenditure side, primary spending growth slowed to 41.3% YoY. This deceleration was mainly attributable to a faster increase in expenditures for goods and services procurement and current transfers on an annual basis.

As a result of these developments, the rolling 12 month budget deficit declined to TRY1,508 bn, corresponding to 2.2% of GDP. In the most recent Medium Term Programme (MTP), the budget deficit for 2026 was projected at 3.5% of GDP. Meanwhile, the primary budget balance showed a marked improvement in March. Accordingly, the rolling 12 month primary surplus reached TRY958.1bn, equivalent to 1.4% of GDP. The latest MTP had envisaged a primary balance of 0% of GDP.

Budget performance



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Rates Spark: Hard to make high conviction central bank calls

The ECB looks unlikely to hike in April, but markets price 25bp by June and at least one more hike later in 2026. While largely driven by oil prices, its extreme volatility can also distort rate pricing and liquidity. Still, positive geopolitical headlines and the latest dovish ECB signals have lowered the April odds of a hike to c.25%



We expect the ECB to remain on hold at its April meeting, despite the movements in oil prices

Not an easy job to predict the next move for central banks

The ECB is clearly not set on raising policy rates this April already, but market expectations remain high for a hike in June. Currently, a full 25bp of hikes is priced in by June and at least one more hike by the end of this year. Much will depend on the oil price, however, because for every \$10 increase in the oil price, the market's hiking expectations increase by roughly 25bp. Similarly for the Fed, and especially the Bank of England, the correlation between policy expectations and oil prices remains very tight. With current volatility in oil markets, a \$10 move can materialise in just one day.

The volatility in short-end rates makes it difficult for market players to take positions, potentially distorting the relationship between actual expectations and market pricing. Even if an investor has

a high conviction view of a central bank's reaction function, taking a position is risky, as a single geopolitical headline can trigger a sharp jump in the wrong direction. These dynamics can result in lower market liquidity, wider bid-ask spreads and less price discovery. In effect, the relatively hawkish pricing of central bank reaction functions may not fully reflect market expectations.

Nevertheless, markets continue to guess the direction of policy rates and the many central speakers slated for this week can help. On Tuesday, Lagarde and the IMF emphasised the risks to growth dynamics in the current environment, which all else should temper rate hike expectations. The focus from the ECB's president on data dependency also suggests April might be too early for a change in policy. Together with another drop in oil prices, it has helped reduce the probability of a rate cut in April to around 25%.

Wednesday's events and market views

From the eurozone we have industrial production data, but given the data is still from February, this shouldn't be market moving. From the US, we have weekly mortgage applications and the Empire manufacturing index. The Empire index is from April and could give some timely insights into how the high oil prices are impacting the economy. Later in the day we have the Fed's Beige Book, which provides valuable qualitative commentary about the state of the economy.

In terms of central bank speakers, we have the ECB's Lagarde, Schnabel and Villeroy. From the Fed we have Barr and Bowman, and from the BoE we have Bailey.

Supply includes an Italian syndication of 10Y BTPs for an estimated €15bn and a 20Y BTPei for c.€5bn. Germany will auction 22Y, 26Y and 30Y Bunds totalling €3bn.

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FX Daily: Pushing forward into de-escalation trades

Markets are increasingly pre-empting a positive outcome as the US and Iran prepare for a new round of talks. We still think caution is warranted and the balance of risks for the dollar now looks tilted to the upside. Central bank speakers remain in focus today, while we see some downside risks for Australian jobs numbers overnight



The dollar has taken another hit on Middle East optimism

USD: Aggressive optimism

The US dollar index is trading at only around 0.5% above pre war levels. Markets have grown more confident that the Middle East crisis is moving toward a resolution, with the US and Iran arranging a second round of talks, and Tehran seemingly willing to halt shipments to avoid testing the US naval blockade.

Given how unsuccessful the first round of negotiations was last weekend, these dollar levels seem to embed a fair amount of premature optimism. As such, the balance of risks is increasingly skewed to the upside for USD.

Part of yesterday's dollar weakness was driven by a much softer than expected March PPI print (0.5% MoM), which helped markets settle around -10bp of Fed easing priced by year end. Today,

attention turns to the Fed's Beige Book – an anecdotal survey that often shapes policy thinking. We expect it to point to greater corporate caution, subdued hiring and ongoing inflation pressures, but nothing that would materially shift pricing. Alongside Fed speakers, we will also watch February TIC flows to gauge whether foreign sentiment toward US Treasuries was deteriorating before the war.

On another note, it was announced yesterday that Fed Chair nominee Kevin Warsh's Senate hearing will take place at 10AM ET on 21 April. We see no kink in the dollar's implied volatility structure, suggesting greater anticipated risk around the event. To us, the risks are probably on the downside for USD and front-end USD rates, considering markets aren't pricing in a full cut by year-end.

While tariffs have fallen into the background of late, Scott Bessent suggested overnight that tariffs could return to their pre-SCOTUS ruling levels in July. That can add a layer of USD bearishness.

Francesco Pesole

📌 EUR: More ECB speeches today

ECB President Christine Lagarde did not offer any new guidance in her US speeches yesterday. She did, however, note that the economy currently sits between the ECB's baseline and adverse scenarios. If anything, this could be read as a mildly dovish nuance, although it clearly remains incomplete without any reference to inflation dynamics or the policy response. Importantly, other ECB members have not struck a more dovish tone: Dolenc and Makhoulouf openly discussed hikes, while Rehn stuck to a more generic note of caution.

For now, this should reinforce the view that the ECB will still deliver two rate hikes even under a gradual de escalation scenario. That said, the marginal support for the euro is diminishing, with other European DM currencies outperforming EUR so far this week. Lagarde speaks again in DC today, alongside a number of other ECB members.

We argued yesterday that for a move above 1.180 in EUR/USD to be sustainable, greater clarity on a peace plan would be needed. That clarity is still lacking, yet markets appear to be increasingly pre-empting a positive outcome. At this stage, risks look more skewed to the downside, although tangible progress in negotiations could still allow the rally to extend beyond 1.1850 by the end of the week.

Francesco Pesole

📌 GBP: Bailey staying cautious

Expectations for Bank of England tightening continued to abate yesterday, with pricing for December falling 10bp to 34bp. Alongside optimism on a conflict resolution, BoE officials continue to sound comparatively less hawkish than their ECB counterparts.

Yesterday, both Andrew Bailey and Megan Greene stressed again the need to take second-round effects into consideration (which, in our view, will be limited in the UK) and pointed to patience before assessing the policy implications. Bailey speaks again today.

All in all, the latest developments keep us confident with our call that front-end rates have further to fall in the UK than the eurozone and that should offer lasting support to EUR/GBP beyond the

near-term. For now, the pair is suffering a bit from improved risk sentiment, but rate differentials will return as primary drivers once the dust has settled.

Francesco Pesole

📉 AUD: Downside risks for jobs figures

We see some downside risks to Australia's March jobs figures, due at 02:30 BST tomorrow. Consensus at +20k for the typically volatile payroll print looks somewhat optimistic, given the clear tendency over the past year for negative reads to follow runs of positive data. Another positive print in March would be the first time since 3Q24 that employment has risen for three consecutive months.

We could see the unemployment rate edge up from 4.3% to 4.4% on the back of a softer jobs print and an unchanged participation rate. This should not yet reflect war related effects, but it could signal slightly softer labour market momentum heading into the conflict period.

Would that be enough to avert a May hike by the RBA? We doubt it, for now. RBA officials have repeatedly expressed concern about losing control of inflation expectations and have openly pointed to the need for further tightening. We sense a degree of urgency, and our base case remains a May hike rather than waiting until August. Markets are pricing around 15bp for May, but that could turn more hawkish once CPI data (released on 29 April) show a jump toward the 4.5% area.

We think AUD/USD retains solid upside potential, net of re escalation risks. A peace deal would not necessarily imply a return to pre war energy prices, allowing AUD to benefit from both stronger export prices and improved risk sentiment. With the RBA continuing its hawkish cycle, we are starting to see some upside risks to our 0.720 call for this quarter.

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FX Daily: Plenty of optimism priced in

The rebound in the dollar proved very short-lived. Markets remain keen to jump into the de-escalation trade, and some tentative signs that the US Hormuz blockade is leading to a new round of talks were enough to add plenty of pressure on USD. From here, we'll need to see clearer progress towards a permanent ceasefire to take DXY back to pre-war levels



USD: Back to de-escalation trades

Failed US Iran talks in Islamabad over the weekend only gave the dollar very brief support. As yesterday went on, oil prices started falling again and the dollar followed. Markets seem to take the view that while the Strait of Hormuz blockade is a form of re escalation, it could eventually push Iran back to the negotiating table given the economic cost of lost oil exports. Trump's comment that Iran had reached out to restart talks triggered another round of USD selling, with DXY currently around 0.3% off Friday's close.

Markets remain heavily tilted toward a sanguine interpretation of events. That means plenty of good news is already in the price, which does increase the dollar's rebound potential if tensions flare up again. But it also means that it would probably now take a more meaningful re escalation to stop markets from fading any initial USD bounce, like we saw yesterday.

Some focus remains on any reactions from Beijing. An Iranian oil export blockade is particularly problematic for China and could add pressure for a quicker resolution. Clear signs that a permanent ceasefire is coming together could push DXY below 98.0, back toward pre war levels. That might sound counterintuitive as energy prices would remain comparatively higher, but other central banks have turned more hawkish than the Fed, which justifies USD weakness against other majors.

On the data side, we have PPI and NFIB Small Business Optimism today, both unlikely to have a major market impact.

Francesco Pesole

⬇️ EUR: Lagarde speaks today

ECB President Christine Lagarde will speak tonight in Washington. A few other Governing Council speakers are scheduled for earlier in the day. We would expect ECB officials to reiterate a broadly hawkish tone considering the lingering volatility in the Gulf. It would be quite surprising for markets to hear comments along the lines of "de-escalation reduces the likelihood of monetary tightening".

Pricing for the 30 April meeting is 10bp, and perhaps a lack of urgency in ECB comments can now help investors align with a hold this month. But two hikes later this year are becoming very much entrenched in swap pricing.

We feel that clear progress in US-Iran talks is needed to sustainably take EUR/USD above 1.180.

Francesco Pesole

⬇️ GBP: BoE speakers in focus

Bank of England Governor Andrew Bailey speaks in New York this afternoon. Earlier in the day, the two most hawkish MPC members, Catherine Mann and Megan Greene, are also due to deliver remarks. Greene has actually been rather balanced in recent comments, highlighting the dual impact of higher inflation and lower demand from the oil shock.

Bailey may well retain a balanced tone himself, implicitly signalling that a pause is the preferred course of action for now. We remain of the view that the BoE won't hike rates (market pricing 45bp by year-end), which should help a move to 0.88 in EUR/GBP.

Francesco Pesole

⬆️ CEE: Remain bullish on Hungary after the elections

Today, we will see more inflation figures for March in the CEE region. In Romania, the morning figures showed an increase from 9.3% to 9.9% YoY, above market expectations. We expect inflation to exceed/continue above 10% in the coming months, with a peak in April around 11%. This should keep the National Bank of Romania on hold for a longer period and we do not expect rate cuts this year.

In the Czech Republic, the final estimate of March inflation will be published, where the flash showed an increase from 1.4% to 1.9%, below market expectations. The question is where core

inflation moved from February's 2.7%, but for now, like other central banks in the region, we see the CNB unchanged this year. EUR/CZK is gradually grinding down and with levels below 24.350 it is not far from 24.250, ahead of US-Iran levels. Given the geopolitical uncertainty and the two CNB rate hikes priced in, we do not see the conditions for a return to these levels at this time.

In Hungary, we will continue to monitor the post-election market behaviour. Yesterday we saw a massive rally, especially at the long end of the curve with rates outperforming bonds and a slower appreciation in FX than we expected. This indicates how heavy positioning was built in the market before the election, especially in the FX and bonds markets. However, we remain bullish on Hungary in general, even though we may see some further profit-taking today. We therefore continue to see EUR/HUF stabilising in the 355-360 range and further flattening of the curve, where we believe the long end should benefit the most after the election.

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What next for Hungary as opposition beats Orbán by a landslide

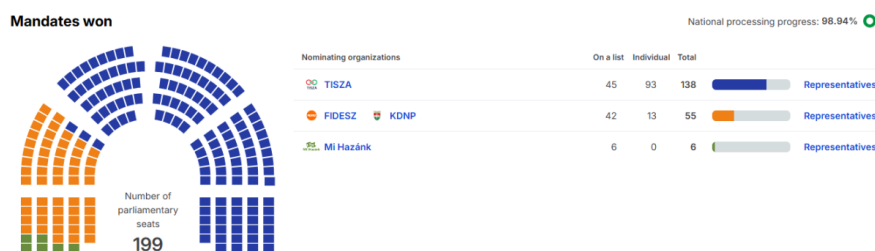
Following a record-high turnout, Hungarian voters handed power to the Tisza Party. This comfortable two-thirds majority victory paves the way for a smoother and faster political and economic transition. However, the country's economic structure and its dependencies will limit the short-term impact on the real economy



Peter Magyar addresses supporters after his party wins a landslide in Hungary's elections

The election results

Hungary delivered a clean political break. The Péter Magyar-led Tisza Party won a decisive, two thirds parliamentary majority on record-high turnout, ending Viktor Orbán's Fidesz party's 16 year dominance and securing full legislative control in a single vote. While the results are still not official, the most likely outcome is that Tisza won 138 of 199 seats. The three single-member constituencies are still in limbo due to the extremely tight race, and late votes from abroad can change the official outcome. However, none of the possible outcomes would jeopardise the supermajority. In this respect, the result signals not fragmentation but consolidation: voters coordinated around one credible challenger.



Source: valasztas.hu

What's next in politics?

Until the new government is formed, the Orbán administration is acting as a caretaker government. The new Parliament must be formed within 30 days after the election, so by 13 May. This date is important from another perspective. In Hungary, a special legal regime has been in effect continuously since May 25, 2022, as a result of the state of emergency declared due to the "armed conflict in a neighbouring country," namely the war in Ukraine. According to current legislation, this state of emergency will remain in effect until May 13, 2026 (parliament decided last October to extend the 180-day state of emergency once again). In other words, the President of the Republic must convene the inaugural session of the new National Assembly following the April 12 elections.

So, while a caretaker government's actions are limited due to the state of emergency, in theory, the Orbán administration remains in full power until the new government is formed. However, considering the election results, we doubt that the outgoing party will make any major decisions.

What's next in economic policies?

From a macro perspective, the key takeaway is the unexpected strength of the mandate for regime change, which reduces short-term policy uncertainty while raising expectations of institutional repair, EU relations and fiscal credibility more quickly than expected. We expect to see many positive headlines in the coming weeks, as Péter Magyar attempts to gain a head start in improving relations with neighbouring countries (such as those in the [Visegrad Group](#)) and with the European Union.

While there is widespread expectation that the Magyar government will quickly resolve the EU-fund-related issues, the reality is that it may take longer. Due to allegations of Hungarian spying on EU officials, trust in Hungarian institutions has fallen to a low point. To regain this trust, more than just symbolic measures are needed. In this respect, the RRF deadline could prove too tight, even with a supermajority.

The Hungarian budget is also facing pressure to be restructured, given that the macro backdrop on which it was based has changed significantly. So, first, the new government needs to come up with a new macro baseline that can serve as a credible building block for the reshaped budget. The new government also needs to reshape the economy, and while it can start work on that, a structural change can take more than one political term.

The new government also needs to decide on the price shield measures, which will remain in place until May. Time is of the essence, and in this respect, the most probable outcome would be an extension until the government has more clarity on the fiscal and economic situation. Speaking of fiscal, this year will probably be about dismantling the inherited budgetary and economic policy structure, which could lead to even worse fiscal metrics in the short term. However, the long-term

gains may be sufficient to persuade market players and rating agencies to allow the new government time to reshape the country. We think that the first 100 days will be seen as a grace period. Hence, in our view, the first round of sovereign rating decisions in late May and early June won't result in any change.

Last but not least, the government could set a target date for euro adoption, establishing a path to reach it, which can be shaped later. If timed perfectly, this could boost market confidence and give the Tisza party more time to work on the Hungarian economy with some tailwinds.

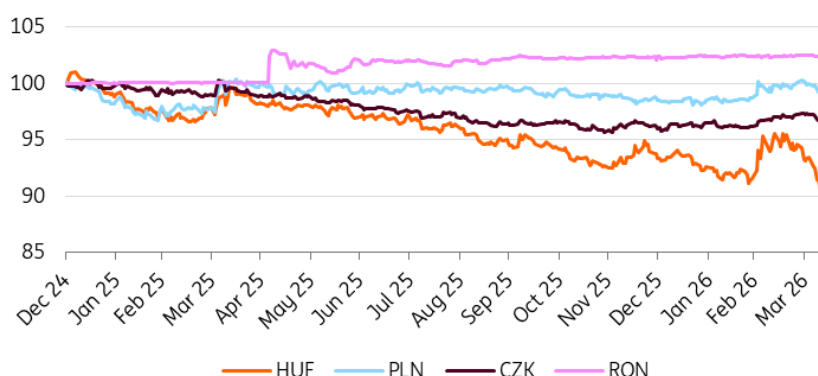
What about the HUF?

The scale of the opposition's win was a surprise. Although market positioning is difficult to read after the US-Iran conflict, the return of EUR/HUF to pre-conflict levels last week suggests that the market was pricing in a simple majority victory for the opposition.

From the market's perspective, the constitutional majority allows for a smooth transfer of power for the opposition and a faster path to unlocking EU funds, which are the main focus of investors, giving Hungarian assets another reason to extend their rally.

CEE FX performance vs EUR

31 Dec 2024 = 100%



Source: Macrobond

The situation in the Middle East significantly obscures the situation, with the expected market opening in a risk-off mood and pressure on the entire CEE region. However, if we were to assume some calm in this, we expect EUR/HUF to stabilise at levels of 355-360 and the bond and IRS curves to move down by about another 30-40bp in the coming days. In our view, the long end of the curve should benefit most from the result, with a better GDP outlook driven by the expected inflow of EU funds and, at the same time, the topic of euro adoption, which the opposition emphasised in its election campaign. On the other hand, the short end will remain burdened by the US-Iran conflict and higher energy prices, preventing the central bank from cutting rates in the coming months despite FX outperforming CEE peers. This will result in curve flattening.

However, another unknown and an increasingly volatile factor in the coming days will be the timing of profit-taking. Given the significant global uncertainty, investors are likely to want to

realise profits earlier than usual, which is likely to lead to higher volatility.

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Webinar: Energy security under strain - why cutting Europe's gas dependency won't be easy

Join our live webinar this Friday 17 April as ING's Gerben Hieminga and Nadège Tillier discuss how the conflict in the Middle East is once again exposing Europe's gas dependence and the hard choices that lie ahead. [Sign up here](#)



Against a backdrop of renewed conflict in the Middle East, markets are again grappling with energy security risks. Iran remains in control of the Strait of Hormuz, and Europe, despite the lessons of 2022, still imports around 70% of its gas. This raises a pressing question: how exposed is Europe if this crisis continues, and what can realistically be done about it?

[Join ING's experts as they discuss:](#)

- Europe's current level of dependence on imported gas
- The short term levers to ease supply risks
- Why longer term solutions – from renewables to nuclear – are harder than they look
- What business leaders should prioritise now

Speakers

Gerben Hieminga, Senior Sector Economist, Energy

Nadège Tillier, Head of Corporate Sector Strategy

Hosted by Rebecca Byrne, Deputy Global Head of Editorial

Details

Date: Friday, 17 April

Time: 1130 BST/1230 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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THINK Ahead: Tell us what you really think

Markets are confidently pricing as many as three European Central Bank rate hikes this year, or so it seems. Our live poll this week suggests otherwise. Read on as James Smith weighs up the case for rate rises in April and June, and explains why it's a dilemma fraught with risk. All that, plus our guide to the week ahead



Are markets really expecting two ECB rate hikes this year?

[Watch video](#)

Do investors really think the European Central Bank is going to hike rates several times this year?

Take a look at the poll we ran during our [webinar](#) this week, conducted just 24 hours after the US Iran ceasefire announcement. The audience split almost perfectly three ways between zero, one and two hikes this year. Nobody could agree on what comes next.

And yet, if you glance at your Bloomberg screen, you'd be forgiven for thinking the answer is obvious. For weeks now, swap markets have been pricing between two and three hikes by year-end.

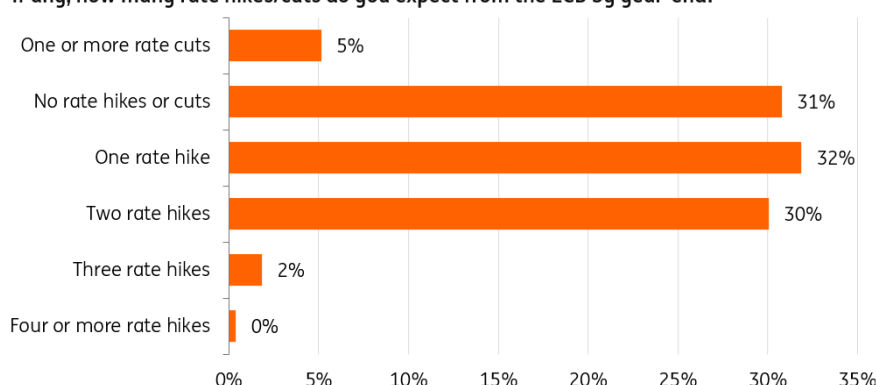
That disconnect suggests market pricing can't be taken entirely at face value. Liquidity is poor. As my colleague Michiel Tukker explains in the video above, thin markets can exaggerate the story. More importantly, market prices are not forecasts. They're weighted averages of multiple scenarios.

Those scenarios range from a relatively benign outcome through to a far more uncomfortable world in which oil prices surge and central banks are forced back into inflation fighting mode. Seeing two hikes on a screen and treating it as a point expectation is probably unwise.

Nobody can agree on what the ECB will do next

Webinar poll

If any, how many rate hikes/cuts do you expect from the ECB by year-end?



Source: ING

Based on a live poll of 273 webinar attendees on Thurs 9 April at 10:00 CEST

Still, the fact that markets are pricing *more than one* hike creates a genuine dilemma for the ECB, and, frankly, for lots of central banks.

Hiking rates now is risky. [This is not 2022](#). The odds of higher energy prices triggering a classic wage price spiral look much lower in today's economic climate. [Weak German industrial data](#) this week is just the latest reminder of that. As Carsten told our [webinar](#) audience, markets flirting with three or four hikes - something we've seen intermittently in recent weeks - would risk unnecessary strain in financial markets and put additional pressure on an already fragile eurozone recovery.

It's also worth remembering that this shock looks different from the last one. So far, it's much more an oil shock than an electricity shock. Natural gas prices, in the grand scheme of things, haven't moved that much, despite the sharp loss of LNG supply from the Gulf.

And yet, central banks are clearly uneasy. Having got inflation so spectacularly wrong four years ago, they're desperate not to repeat the mistake. Which brings us to inflation expectations - the thing policymakers fear losing control of most.

So far, market based measures of longer term inflation expectations haven't really budged since the conflict began. The five year inflation swap priced five years forward - a decent gauge of where investors think inflation ultimately settles - looks remarkably calm. But that calm is conditional. It assumes the ECB delivers multiple rate hikes this year. A similar logic is true of the Bank of England.

Fast-forward three weeks to the April policy meetings, and here's the issue: it's far from clear that

the situation in the Gulf will be any easier to read by then. Let's see what comes out of talks in Pakistan this weekend. But the tentative lesson from this week is that the backdrop is likely to remain fragile and vulnerable to re escalation on multiple fronts.

The Strait of Hormuz, in particular, is showing little sign of a clean or durable reopening. And even if flows improve over the coming days, it remains vulnerable to closure again at short notice.

In that environment, the temptation for policymakers – and probably the most likely outcome – is a re run of March. Keep rates on hold, stress the unusually high level of uncertainty, and keep all options firmly on the table. A handful of dissents in favour of rate hikes would probably help signal that inflation risks are being taken seriously. In other words: keep your powder dry, let investors (and the rate hikes priced in) do some of the tightening for them.

This strategy can only work for so long.

At some point, markets begin to wonder whether central banks are all bark and no bite. And that's when the risk shifts. If investors start to doubt the willingness of policymakers to follow through, inflation expectations – and by extension, the longer end of the bond market – risk becoming harder to control.

We've already seen consumer inflation expectations spike, don't forget. Personally, I'm not convinced that matters very much. Central banks may take a different view.

Then there's the length of the disruption itself. The longer volatility in Middle Eastern commodity flows persists, the more likely it is that we see broader supply chain effects creep in. Think of helium supplies critical for semiconductor production. Aluminium for cars. Fertiliser for food. The list goes on. And, crucially, visibility on how these effects interact is low. The Covid pandemic taught us that.

Which brings us to June.

Central banks can probably get away with a hold in April, blaming geopolitical uncertainty and a lack of economic data to guide them. By the summer, things get much more awkward. If commodity flows through the Middle East remain volatile and unpredictable, investors may begin to question the commitment of central bankers to keeping inflation under control.

The risk of second round effects on prices will have risen, and we might start to see the first hints of that in the official core inflation data. And remember, ECB policy is not especially restrictive to begin with. A 2% deposit rate is widely seen as neutral.

There are, of course, many ways the disruption in the Middle East could play out. We're updating our forecasts and scenarios as we speak – more from us on that next week. But put it this way, it becomes easier to imagine the ECB hiking rates in June if the disruption doesn't resolve much by then, particularly when you add in Germany's fiscal stimulus in the background. Carsten made exactly that point on this week's [webinar](#).

After all, what's one rate hike between friends? But it's a delicate balance. As the Bank of England learnt the hard way back in March, talking tough – even without actually hiking – can open the floodgates for markets to price in far more tightening than policymakers ever intended.

And in a fragile growth environment, that's a dangerous game to play.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- **Beige Book** (Wed): It is a fairly quiet week in the US next week with the US-Iran negotiations set to drive market sentiment. The data calendar consists of PPI and import prices, which are set to highlight the build up in pipeline price pressures initiated by the Middle East conflict. Industrial production will be the main activity release and based off the ISM manufacturing report and Federal Reserve regional surveys, we expect another decent performance. The Federal Reserve's Beige Book report is also worth watching. This is an anecdotal survey on the state of the US economy that is an important determinant of Fed policy directions. It is likely to highlight increased corporate caution, subdued hiring and rising inflation pressures.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Feb BoP** (Mon): We estimate that the February current account recorded a €293mn surplus vs. €115mn in February last year. That translates into a 12-month cumulative deficit narrowing to 0.5% of GDP vs. 0.6% of GDP after February. According to our forecasts, exports of goods in euro-terms were at a similar level as the corresponding month of 2025, while imports fell by nearly 1% year-on-year. Starting from April, we may see some deterioration in the balance of payments on the back of more expensive imports of oil due to the military conflict in the Middle East. In 2026, we forecast a current account deficit of 1.4% of GDP.
- **Mar final CPI** (Wed): The flash estimate of March CPI of 3.0% YoY surprised on the positive side as the upswing in fuel prices was lower than feared (though might be revised upwards) and apart from petroleum, price pressures were benign. There were no significant changes in either food or housing energy prices vs. February. We also estimate that core inflation, excluding food and energy prices, was broadly unchanged and stood at 2.5-2.6% YoY. The official figure will be released on Thursday. So far, the energy shock is relatively contained and with a ceasefire announced, there is a chance it may remain a supply-side shock with limited spread to prices of other goods and services. We forecast average CPI inflation in Poland at 3.2% this year.

Czech Republic (David Havrlant)

- **Inflation** (Tue): We expect the statistical office to confirm that annual headline inflation remained just below the inflation target in March. The detailed breakdown and Czech National Bank calculation will likely show that annual core inflation remained broadly stable or slightly increased on the back of the punchier price dynamics in the service segment.
- **Current account** (Mon): The current account surplus likely increased in February, as the export performance was still intact before the Iran conflict, while imports for investment purposes somewhat mitigated the effect of solid exports.

Key events in developed markets next week

Country	Time Data/event	ING	Prev.
Monday 13 April			
US	1500 Mar Existing Home Sales (mn)	4	4.1
Netherlands	0530 Feb Trade Balance (EUR bn)	-	8.1
Tuesday 14 April			
US	1330 Mar PPI (MoM%/YoY%)	1,4/4,6	0.7/3.4
Sweden	0700 Mar CPI Final (MoM%/YoY%)	-/-	-0.6/0.6
	0700 Mar CPIF Final (MoM%/YoY%)	-/-	-0.6/1.6
Wednesday 15 April			
US	1900 Fed Beige Book	-	-
Eurozone	1000 Feb Industrial Production (MoM%/YoY%)	-/-	-1.5/-1.2
France	0745 Mar CPI Final (MoM%/YoY%)	-/-	0.9/1.7
Greece	1000 Mar CPI (YoY%)	-	2.7
Thursday 16 April			
US	1415 Mar Industrial Production (MoM%)	0.2	0.2
	1330 Initial Jobless Claims (000s)	215	219
Eurozone	1000 Mar CPI (YoY%) Final	-	2.5
UK	0700 Feb GDP Estimate (MoM%/YoY%)	0.2/0.6	0.0/0.8
Friday 17 April			
Eurozone	1000 Feb Current Account (EUR bn)	-	13
	1000 Feb Total Trade Balance (EUR bn)	-	-1.9
Italy	0900 Feb Global Trade Balance (EUR bn)	-	1.1

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST) Data/event	ING	Prev.
Monday 13 April			
Turkey	0800 Feb Current Account Balance (USD bn)	-7.1	-6.8
	0800 Feb Retail Sales (MoM%/YoY%)	-/-	2.4/18.8
Poland	1300 Feb Current Account (EUR bn)	0.3	1.2
Czech Rep	0900 Feb Current Account Balance (CZK bn)	34.2	29.2
Kazakhstan	- Mar Industrial Production (YoY%)	-	3.2
Tuesday 14 April			
Czech Rep	0800 Mar CPI (MoM%/YoY%)	0.6/1.9	0.6/1.9
Ukraine	0000 Oct Trade Balance YTD	-	-30.6
Romania	0800 Mar CPI (MoM%/YoY%)	-/-	0.6/9.3
Serbia	1100 Mar CPI (MoM%/YoY%)	-/-	0.5/2.5
Wednesday 15 April			
Turkey	0900 Mar Budget Balance (TRY bn)	-	24.4
Poland	0830 Mar CPI Final (MoM%/YoY%)	1/3	1/3
Romania	0700 Feb Industrial Production (MoM%/YoY%)	-/-	-3.3/-3.8
Thursday 16 April			
Poland	1300 Mar Core Inflation (YoY%)	2.5	2.5
Croatia	1000 Mar CPI Final (YoY%)	-	3.8
Friday 17 April			
Hungary	0730 Feb Average Gross Wages (YoY%)	8.8	26.3

Source: Refinitiv, ING

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US inflation much more likely to be transitory this time around

Gasoline price hikes prompted a jump in headline inflation, but core pressures were more benign than feared. We have much greater confidence that inflation will be transitory this time around, given the lack of demand impetus and weaker corporate pricing power versus 2022



US CPI for March rose on higher gasoline prices, but we do think higher inflation will be transitory

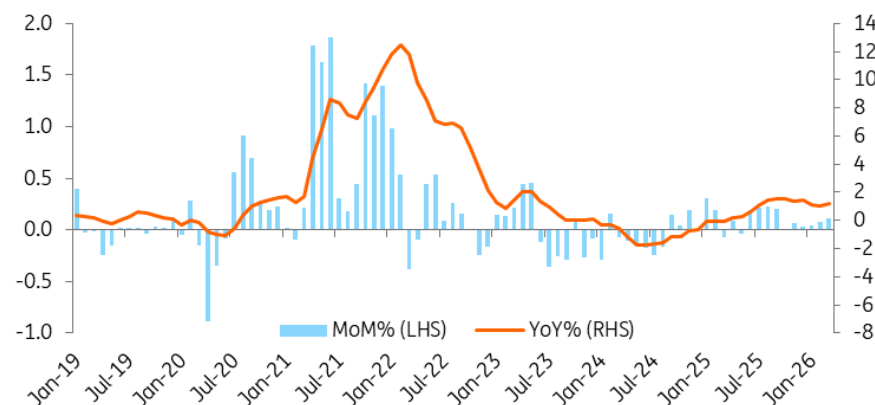
Gasoline prompts an inflation jump, but core pressures were softer than feared

US headline CPI showed prices rising 0.9% month-on-month in March, as expected by the market, with a 21.2% MoM jump in gasoline prices contributing the bulk of upside impetus. Airline fares rose 2.7% MoM and apparel prices rose 1%. However, excluding food and energy, inflation was softer than feared, rising only 0.2% MoM/2.6% YoY versus expectations of a 0.3%/2.7% outcome. This was thanks largely to a 0.4% drop in used car prices, a 0.2% decline in medical care and a 0.4% decline in "other goods & services". Housing costs, the single biggest component by weight, rose 0.3%.

The economy has handled tariffs well, with limited goods price inflation. Core goods prices (ex-food

and energy), remain benign, rising just 1.2% year-on-year. Instead, the tariff cost is largely being borne by the US corporate sector – next week's import prices will show another monthly rise, indicating foreign producers are not “paying” the tariffs.

Core goods price inflation



Source: Macrobond, ING

“Transitory” inflation far more likely this time

While the rise in energy costs will push the annual inflation rate even higher over the next few months, we don't expect a repeat of 2021/22 when the Fed called inflation pressures “transitory” only to then hike rates 525bp as inflation got within touching distance of 10%.

The supply shock this time around is arguably far smaller, focused in the US' case on gasoline and other fuel costs rather than *all goods* AND energy in the wake of pandemic-dislocated global supply chains. More importantly, there isn't the demand impetus this time around to generate broad and persistent inflation. 2022 saw 4.5mn jobs added, wage growth touching 6%, significant pent-up demand, record savings levels and stimulus checks. This time we have a much cooler jobs market with wage growth closer to 3%, weaker confidence and flat-lining real household disposable income.

Rising fuel costs likely to be demand destructive

Fuel price hikes are more likely to be demand destructive, via reduced discretionary spending power. This point was underlined by yesterday's personal income and spending report, which showed real household disposable incomes were flatlining before the Middle East conflict. We are likely to see this turning negative in coming months. Furthermore, if we see a successful outcome for the US-Iran negotiations and the flow of oil and gas starts to trickle out before coming more of a proper flow through the second half of the year, lower energy costs could possibly drive inflation below 2% at some point next year. As such, we still think interest rate cuts are more likely than hikes, especially given the Fed's dual mandate (price stability AND Maximum employment).

What would change our Fed view? If inflation expectations were to start rising and wage demands pick up, but right now both market and consumer long-term inflation expectations appear anchored and there continues to be more unemployed Americans than there are job vacancies – remember back in 2022 there were two job vacancies to every unemployed American. This highlights how the demand-supply balance has shifted within the jobs market and explains why we think second-round price effects will be far more muted this time relative to the post-pandemic

inflation shock.

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Watch: How the energy shock is hammering Europe's construction industry

Europe's construction industry finds itself at the mercy of the sharp rises in oil and gas prices we've seen since the start of the war in the Middle East. ING's Maurice van Sante says we're seeing the strongest price rise expectations since the 2022 energy crisis.

There's more on Maurice's findings [here](#)



How the energy shock is hammering the construction industry

Oil and gas prices may have come down since the apparent ceasefire in the Middle East, but still-elevated levels are really bad news for Europe's construction industry. Materials such as cement, concrete, and bricks are highly energy-intensive to produce. We're already seeing that pressure add up; nearly a fifth of European building manufacturers said last month they would increase their prices. That's the highest reading in three years. Some countries are more exposed than others, notably the Netherlands and Spain, where producers are more reliant on gas. And all this comes at a time when the construction industry was just seeing a turnaround in its fortunes.

[Watch video](#)

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How Europe can reduce reliance on imported gas and what it means for business leaders

As Europe confronts a new energy crisis, we explore key measures to strengthen energy security beyond simply lowering energy bills, and the potential implications for business leaders



Europe still imports about 70% of its gas, leaving it exposed to supply risks

The EU has several levers it can pull to reduce its exposure to volatile gas markets if the energy crisis were to intensify.

Lowering gas demand is possible, but it comes with significant challenges and sacrifices. For households, further reductions are limited as thermostats are already turned down in the spring and summer – meaning that actions like shorter, less frequent showers may be necessary. In industry, decreased gas consumption is often the result of closures and deindustrialisation, rather than improved efficiency. In the short term, maximising the output of existing **hydro, nuclear, and coal power** plants offers the most immediate relief for the power sector.

While **renewables** surged after the 2022 energy crisis, current grid constraints limit their ability to provide a rapid solution. Over the medium term, expanding **biogas** production presents meaningful potential. Although **offshore gas production** is naturally declining, there is still an opportunity to extend the use of remaining resources and tap into new fields. This renewed crisis is likely to accelerate efforts to revive the **nuclear** sector, but such projects require many years to

come to fruition. Unlike the energy crisis of the 1970s, which led to France's nuclear expansion, today, renewables are set to become the foundation of Europe's future energy systems.

As a **business leader**, immediate actions such as reducing gas usage or temporarily substituting gas with coal can help manage short-term supply disruptions. However, these approaches are not without challenges, particularly the potential for higher carbon costs from a gas to coal switch. To address supply risks and cost pressures more sustainably, companies should focus on increasing their reliance on renewable energy, investing in solutions that enhance grid capacity, expanding biogas production and utilisation, and supporting domestic offshore gas projects. These strategies can provide structural resilience against volatile gas markets.

Gas demand down 20% since Russian gas crisis, but further cuts will be harder

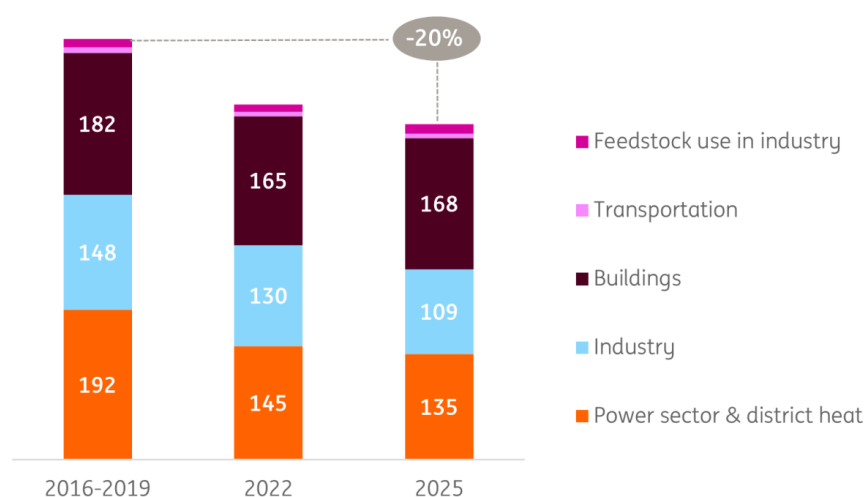
Since the 2022 energy crunch, European gas consumption has dropped from roughly 540 billion cubic meters (bcm) to 430 bcm, a notable reduction of 110 bcm, or 20%. Despite this progress, Europe still imports about 70% of its gas (just over 300 bcm annually), leaving it exposed to supply risks.

In the **building sector**, gas use has been structurally reduced by 8%, mainly due to conscious use (lower thermostats), better insulation, and increased adoption of heat pumps. The process of “greening” buildings is ongoing, but there are limited opportunities for rapid change.

Industry has seen gas consumption fall by 26%, but most of this has resulted from plant closures rather than efficiency gains. The chemical sector **lost** 37 million tons of gas and oil intensive refinery capacity due to shutdowns since 2022, while only seven megatons of new, “greener” capacity has been added, mostly in the battery, biobased, circular value chains and the modernisation of existing plants.

Gas use has been reduced by a fifth since the Russian energy crisis

Natural gas use in Europe (EU-27 + UK)



In the **power and district heating** sector, gas demand has dropped an impressive 30% compared to pre-crisis levels. Although electricity demand fell by just 3%, the power sector managed deeper gas reductions by shifting to renewables.

The question now is how much further Europe can reduce its dependence on imported gas and how that might affect businesses. This is not just an issue of compensation for high gas prices. It is about immediate, short-term measures that can quickly make a difference. We also examine longer-term solutions that could substantially reduce Europe's reliance on imported gas but require policy changes and sustained investments.

Gas diversification helped in 2022, but is tougher in today's multipolar world

At the onset of the Russia-Ukraine conflict, 40% of EU natural gas came from Russia, but by the end of 2025, this fell to 13%. While some countries were less reliant, Germany sourced over 55% of its gas from Russia before 2022, dropping to zero pipeline imports in 2025.

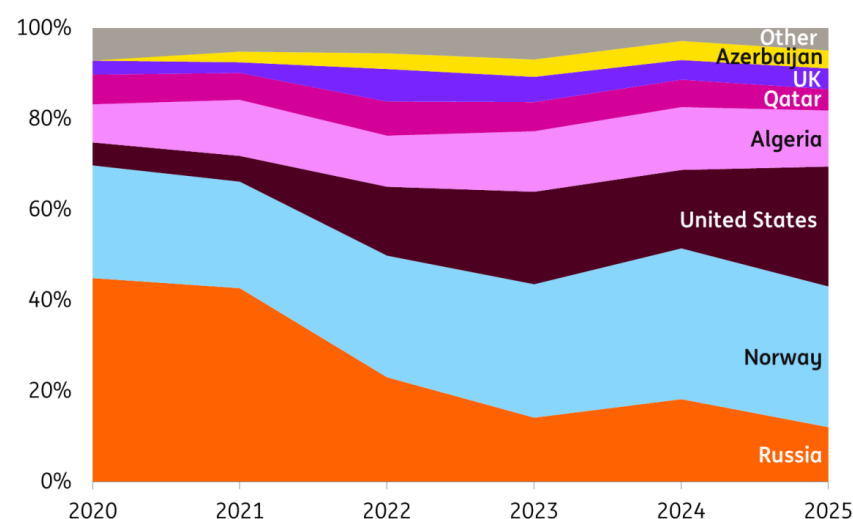
Norway is now the EU's top gas supplier, followed by the US

Norway is now the EU's top supplier (31% in 2025, up from 25% in 2020), followed by increased US

liquefied natural gas (LNG) (26%, up from 5%). Algeria increased its share to 12%. The UK and Qatar each provide nearly 5% of the EU's total gas imports, underscoring their continued but smaller role in the region's energy mix.

EU has shifted natural gas imports from Russia to Norway and the US

Gas imports to EU-27 per country of origin 2020-25 (based on volumes)



Source: ING Research based on Bruegel

Europe now relies on a wider range of suppliers, but paradoxically, the new geopolitical situation still leaves Europe vulnerable. If tensions with Russia escalate, Norwegian gas pipelines could face an increased risk of sabotage. And President Trump has used the threat of reduced LNG exports as leverage in trade negotiations, while exports from Azerbaijan and Algeria to the EU can only increase slightly and substantial growth would require new investments which impact gas flows only after 2030. Risk-free diversification is now less feasible than during the 2022 crisis.

Implications for business leaders

Most businesses rely on energy providers for their gas supply, but these providers have limited options to further diversify their procurement strategies. As a result, companies remain exposed to potential gas supply disruptions and the associated price volatility. To manage these risks, business leaders may employ hedging strategies, even when market prices are high, and often attempt to pass increased costs on to their customers.

Coal returns as an immediate but temporary solution

Coal remains the fastest option to replace natural gas in power generation, requiring no new capacity investments. After the Russian invasion of Ukraine, coal's share in Europe's power mix rose from 11% (2020) to 13% (2022).

Although some countries have closed their coal plants, significant capacity remains. In Germany, approximately 28 GW of coal-fired capacity is operational, including both hard coal and lignite units, with some scheduled to run beyond 2030. Poland retains around 27 GW of coal-fired power capacity and, as of mid-2025, has approved the extension of ageing 200 MW coal units for national security reasons. Meanwhile, the Netherlands is home to two of Europe's newest coal plants, with a combined capacity of 2.5 GW.

Until recently, gas-fired plants were more economically attractive than coal-fired plants, resulting in coal capacity being largely underutilised and readily available for rapid production increases. Given Europe's extensive and interconnected power grids, ramping up generation from coal plants could effectively reduce gas usage in power plants across the continent.

A common concern is the increase in carbon emissions. However, both coal and gas power plants operate under the EU Emissions Trading System (ETS), which sets a cap on total emissions regardless of the energy source. Switching to coal boosts demand for carbon allowances and, all else being equal, leads to higher prices for carbon allowance. Yet, in the event of a gas crisis, the additional carbon costs are typically much lower than the sharp rise in gas prices. This is already evident in current markets, where coal is increasingly used as a substitute for gas whenever gas prices surpass €45 per megawatt-hour.

Implications for business leaders

For business leaders, the implications are clear: while coal can provide a buffer against gas supply disruptions, it comes with the risk of increased carbon costs. The trajectory of ETS prices is influenced not only by greater coal usage but also by how much the gas crisis dampens economic activity, particularly in energy-intensive industries that drive demand for carbon allowances. When ETS prices rise, energy procurement costs increase, making exports to countries outside the EU less competitive. Consequently, investment strategies are shifting towards minimising both gas and carbon exposure – such as through energy efficiency initiatives and electrification – rather than depending on short-term fuel substitutions.

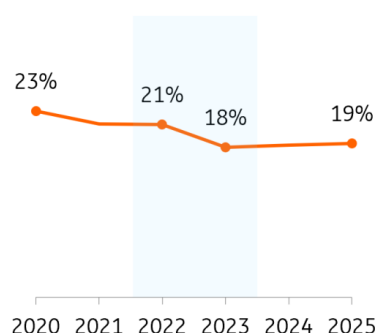
Renewables remain the long-term goal, but grid limits slow progress

During the 2022 energy crisis, lower gas use was largely offset by increased renewable generation while coal played a secondary role. This transition was further impacted by reduced output from hydropower and nuclear plants, which experienced operational disruptions from outages and severe droughts.

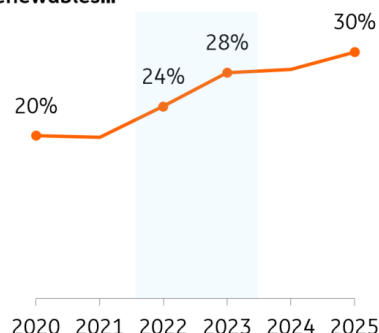
Within the power sector, renewable expansion replaced gas, with coal usage rising temporarily before resuming its decline

Share of energy source in European power generation mix (2020-2025)

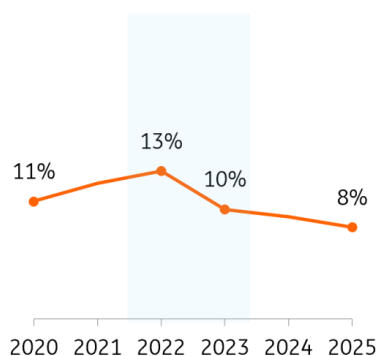
Reduction in gas dependence...



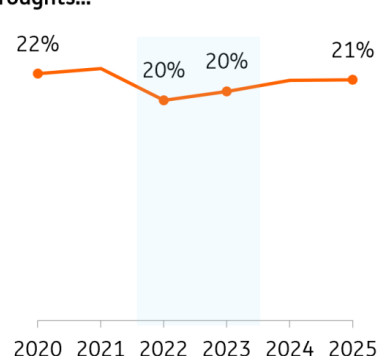
...was followed by a sharp increase in renewables...



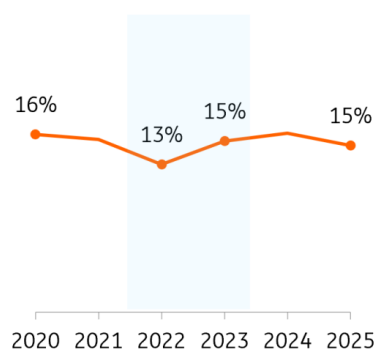
...and a short lived increase in coal...



...while hydropower was lower due to droughts...



...and nuclear power due to outages.



Source: ING Research based on Bloomberg New Energy Finance

According to DNV's 2026 global energy survey, 71% of senior energy professionals believe that expanding renewables is key to energy security. However, further expansion of renewables is now considerably more challenging compared to 2022 due to grid congestion. For example, in the Netherlands, more than 4,000 companies, including developers of wind and solar projects, are waiting for a grid connection. In Poland, 205 GW of renewable energy and storage projects are

queued for grid access.

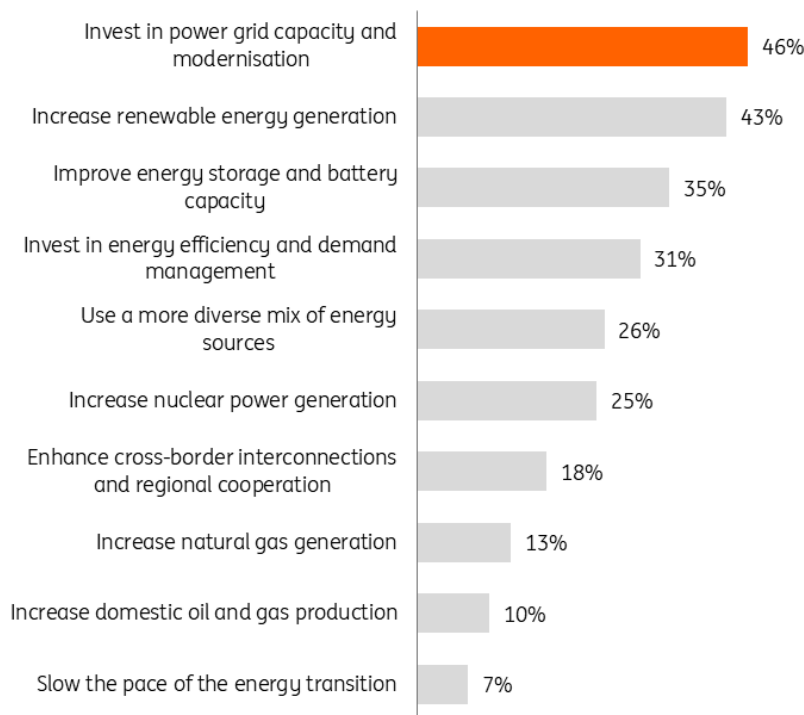
Grid congestion delays renewable expansion

Although speculative "ghost projects" inflate the numbers, real projects are affected. Since 1 January, Dutch grid operators now prioritise connections for grid-enhancing projects like batteries and demand flexibility, followed by critical needs (defence, hospitals, police, water), then societal services (housing, schools, waste, telecom). Businesses, including developers of renewables, are fast – often facing years-long delays.

So, while renewables are economically attractive, grid congestion delays expansion. Energy professionals now see grid investment as the most effective way to boost security.

What energy professionals think is the best way to improve energy security over the next three years

Percentage of respondents including the solution as one of their top three



Source: ING Research based on DNV's 2026 global energy survey

Implications for business leaders

For European businesses, renewables remain the cheapest and most credible route to reducing gas exposure and long term power costs. Politicians are also in favour of renewables – even more so in times of crisis – and they are likely to incentivise project developers to build renewables and businesses to use renewable electricity. However, for

business leaders, the constraint is no longer renewable economics, but infrastructure. The speed at which they can grow renewables will increasingly depend on access to grid capacity and flexibility solutions, making investments in storage, demand response, on site generation and locations with available grid headroom a strategic factor – rather than energy prices alone.

Biogas: Europe's scalable, local, and circular gas solution

Biogas stands out as a medium- and long-term solution for Europe, supporting a resilient system while reducing Europe's dependence on imported gas.

Europe produces about 7 billion cubic meters (bcm) of biogas (1.6% of demand). Forecasts by DNV and BNEF suggest production could triple to over 20 bcm by 2030 and plateau at 30 bcm by 2035 – almost 8% of current demand. While this is substantial growth, it falls short of the EU's 35 bcm REPowerEU target for 2030 that was defined in the wake of the Russian gas crisis.

Even more significantly, biogas has the theoretical capacity to supply up to one-third of Europe's current gas demand. This would require tapping into all available sustainable feedstocks, including manure, agricultural residues, organic waste, and utilising advanced gasification technologies. However, realising this potential depends on strong policy support, rapid technological deployment, and effective management of biomass competition – conditions that are currently far from being met.

In Denmark, biogas now supplies 40% of the country's gas demand

Denmark exemplifies biogas success, with 58 plants built in a decade now supplying 40% of national gas demand. With further policies, Denmark could reach 100% biomethane in a few years and even exceed domestic needs if it also pursues policies to reduce domestic gas demand. This would make Denmark's gas system net zero and locally circular, with renewables supplying electricity most of the time, and biogas providing backup at times when it is valued most. Biogas also helps agriculture by reducing manure and nitrogen emissions.

Biogas production costs currently range from €50 to €100 per megawatt-hour. Prior to the recent energy crisis, biogas was considered expensive, especially when compared to gas prices around €20 per megawatt-hour. This presents a difficult choice for both policymakers and business leaders: Should they prioritise the lowest-cost gas, risking increased exposure to volatile international markets, or pursue greater energy independence through locally produced, circular biogas at a higher cost? Historically, the preference has been for cheaper imported gas, but a renewed energy crisis could substantially strengthen the case for investing in biogas. Additionally, increased local biogas production means that Europe spends less on gas imports from countries outside the EU, keeping more of the economic benefits within its own borders.

Implications for business leaders

From a supply perspective, farmers and waste management companies have the ability to scale up biogas production, as long as the business case is attractive. Achieving this requires robust policy support and reliable buyers willing to pay a green premium for biogas. So, for business leaders on the offtake side, investing in biogas is not just about minimising costs; it's a strategic move to reduce exposure to volatile international energy markets and strengthen energy independence. Investing in higher priced, locally produced biogas can strengthen energy security, reduce carbon and import exposure, and keep value chains closer to home. As a result, competitiveness will increasingly depend on whether companies integrate energy resilience into investment decisions, rather than optimising solely for short term fuel costs.

Offshore gas: Europe's potential bridge as region shifts to low gas demand

Europe possesses significant offshore gas resources, with total reserves estimated at around 5,000 billion cubic meters (bcm), primarily located in Norwegian waters. Of this, approximately 2,000 bcm consists of proven (discovered) reserves, while the remaining 3,000 bcm represents potential reserves that could be uncovered through further exploration efforts.

Currently, production from offshore fields in the European Union, UK and Norway is set to fall from about 180 bcm per year today to about 30 bcm by mid-century. This is driven by the geological decline of existing production fields and the prevailing policy trajectory of one of 'managed decline'; gradually reducing production to align with net zero ambitions by 2050. For instance, in November 2025, the UK officially announced it would no longer grant new exploration licenses for offshore oil and gas exploration.

An alternative "maximum extraction and exploration" approach could slow this decline, making Europe less dependent on gas imports, while also reducing the carbon intensity of gas usage as North Sea gas emits up to six times less CO₂ than imported LNG from the US and Russia.

It's important to recognise that boosting offshore gas production alone does not shield Europe from high gas prices. As long as the region remains dependent on imported gas, liquefied natural gas (LNG) will continue to dictate market prices. This is why the most effective long-term solution is a comprehensive electrification strategy powered by renewables and nuclear energy, which breaks the link between electricity costs and gas prices. In the interim, increasing offshore gas output can help ease supply challenges, but it does not resolve Europe's vulnerability to global price fluctuations.

Implications for business leaders

For business leaders, there are two key takeaways. Firstly, while Europe possesses substantial gas reserves, current policy decisions mean these resources remain largely untapped. From a commercial standpoint, this is understandably difficult to accept, but unless a prolonged and severe gas crisis occurs, a significant policy reversal is unlikely. Secondly, even if offshore and biogas production are expanded, Europe will continue to face high and unpredictable gas prices as long as it remains dependent on global LNG markets.

This highlights the critical need to reduce direct exposure to gas by enhancing energy efficiency, accelerating electrification, and securing long-term power purchase agreements for electricity generated from renewable or nuclear sources.

Nuclear power revival: Europe's ambitious long-term strategy

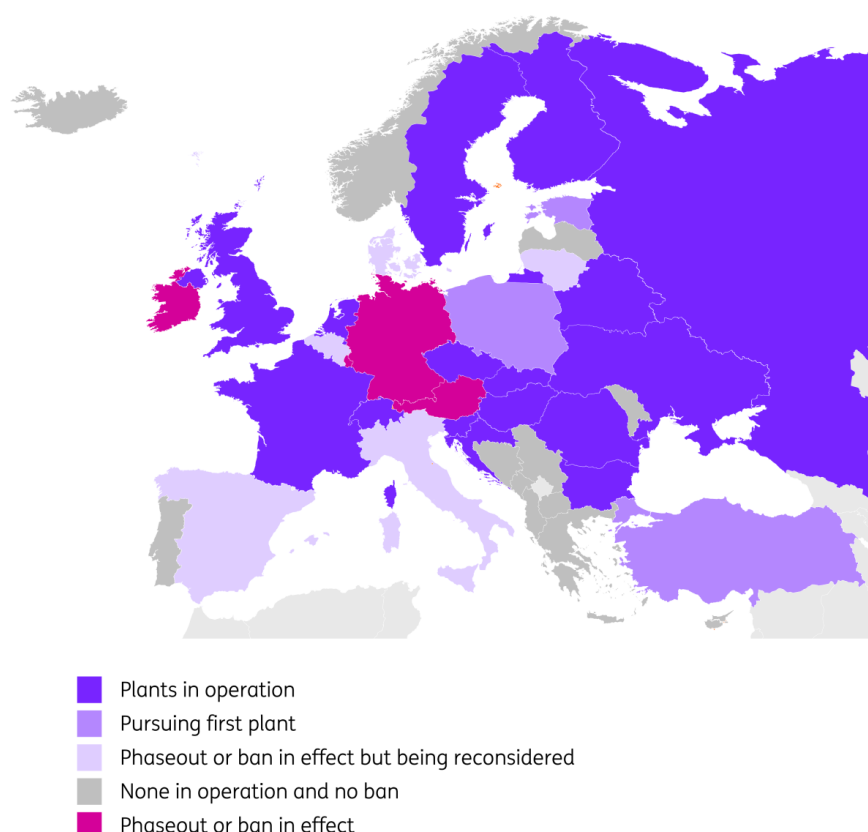
The 2022 energy crisis reignited interest in nuclear power throughout Europe, which could be further accelerated by today's crisis. Just like the 1973–74 oil crisis spurred France's large-scale nuclear buildout, which now supplies 70% of its electricity, ensuring reliability and low prices.

In March 2026, European Commission President Ursula von der Leyen publicly acknowledged that Europe's shift away from nuclear energy following the Fukushima disaster – most notably Germany's abrupt phase-out – was “a strategic mistake.”

Countries like Spain, Italy, Belgium, Denmark, and Lithuania are reconsidering nuclear bans. The UK made a final investment decision for the 3.3 GW Sizewell plant in 2025 while Hungary and Slovakia are building 1.7 GW of new capacity. And, according to the World Nuclear Association, 27 additional nuclear power plants are currently in the planning stages across the EU, underscoring a strong and growing commitment to nuclear power in Europe's future energy landscape.

Europe's evolving approach to nuclear power: some countries construct their first nuclear plants, others actively reconsider bans

Status of nuclear power in European power markets



Source: ING Research based on Bloomberg New Energy Finance

Extending the lifecycle of existing and low-cost nuclear power plants is a no regret policy. However, it is likely to take many years before Europe can significantly expand its nuclear power capacity, due to two key challenges.

First, recent attempts to build new nuclear plants in Europe have proven complex and costly. Flagship projects such as Flamanville, Olkiluoto, and Hinkley Point C have faced significant delays and substantial cost overruns, highlighting the considerable hurdles that remain for large-scale nuclear expansion.

Second, while interest in Small Modular Reactors (SMRs) is growing, their deployment is still in the early stages. At present, only two SMRs are operational – one in Russia and one in China – with two additional units under construction in Canada and the US. Furthermore, Europe faces heightened geopolitical risks with SMRs because these reactors rely on advanced nuclear fuel, which is primarily sourced from Russia. This dependence could complicate efforts to adopt SMR technology and increase vulnerability to supply disruptions.

So, despite the nuclear power revival, it is a long-shot strategy for Europe.

Therefore, while Europe is experiencing renewed interest in nuclear power, expanding its nuclear capacity remains a challenging and uncertain long-term endeavour.

Implications for business leaders

The revival of nuclear power in Europe has very different implications depending on where companies sit in the value chain. For business leaders operating in the nuclear value chain, especially those focused on innovation, engineering, design, fuel services, and project development, the evolving policy landscape offers clear support and new opportunities. Conversely, for energy-intensive industries, the outlook is more measured. For most companies, nuclear power remains a high-risk, long-term strategy rather than a practical solution, particularly if it diverts attention from existing technologies that can more readily decrease reliance on natural gas.

As Europe faces the prospect of another energy crisis, the solution should extend beyond simply lowering energy bills for households and businesses. There is an urgent need for technologies and policies that can significantly decrease Europe's future dependence on natural gas. As the energy crisis continues, we can expect significant progress in addressing grid congestion to accelerate renewable integration, ramping up biogas production, and potentially utilising temporary measures such as coal substitution or offshore gas extraction.

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The US tariff shock in 2025 vs 2026 – same negative impact, different drivers

The US tariff shock of 2025 was historic, but its impact on Europe was partly cushioned as tariffs on rival suppliers rose, keeping Europe's US market position broadly intact. Even so, exports fell amid higher tariffs and uncertainty. With tariffs converging to 15% in 2026 for most partners, Europe's competitiveness is set to deteriorate



One year on from the historic US tariff rollout, the impact is becoming clear

The rollout of new US tariffs in 2025 triggered months of uncertainty and market volatility. One year on, their impact is becoming clearer. Although the tariff hike was historical, its direct effect on the European economy proved more muted than initially feared. This not only reflected exemptions, tariff front-loading and strong US demand for pharmaceutical imports (especially from Ireland), but also the fact that US tariffs on many competing suppliers also rose sharply in 2025, temporarily preserving Europe's competitive position on the US market. Still, higher tariffs, the stronger euro, and heightened uncertainty weighed visibly on EU US trade.

Looking ahead, the drivers of EU-US trade are shifting. The Turnberry deal locks in a 15% tariff rate for EU exports, while tariffs on competing countries are also set to converge towards 15% in 2026. Countries such as China (31.1% effective tariff rate in 2025), India (20.5%) and Indonesia (20.8%) will therefore face substantially lower tariff rates than in 2025, eroding the EU's relative position on

the US market. As a result, the drag on EU exports is likely to persist, driven less by uncertainty and tariff asymmetries and more by a deterioration in relative competitiveness.

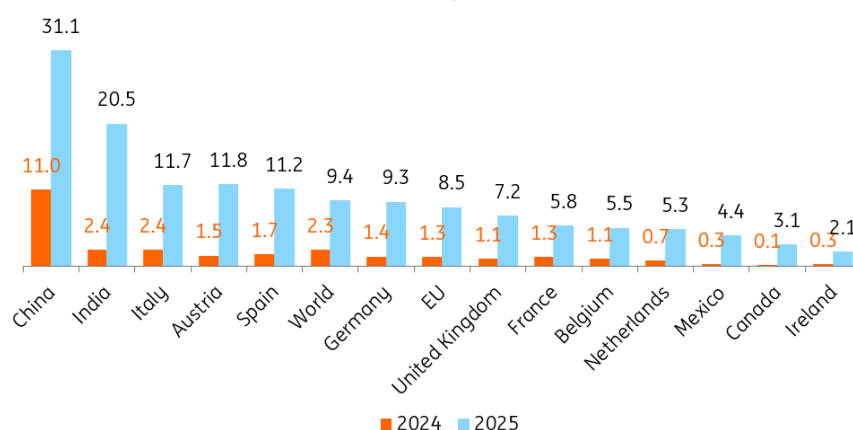
US tariffs jumped sharply in 2025, but less than feared

US tariffs increased sharply in 2025. The effective tariff rate rose by 8.1 percentage points, a historic jump, but one that ultimately proved less severe than the most adverse scenarios had anticipated. This more benign outcome partly reflected tariff stacking rules and sector specific exemptions, and partly the ability of exporters to adapt by rerouting trade flows or adjusting the composition of shipments to the US market.

For the EU, the effective tariff rate climbed to 8.5% in 2025, up by 7.2ppt compared with 2024. Despite the EU's common external tariff, effective tariff levels varied across countries due to different export structures and access to exemptions. As such, France, Belgium, and the Netherlands faced roughly half the effective tariff burden of countries such as Germany, Italy or Spain.

Large differences in effectively applied tariff rates, even within the European Union

US effective tariff rate, December values (%)



Source: US Census, ING Economic Research

EU-US exports in 2025: Tariff front-running, Irish outperformance and a sharp post-tariff decline

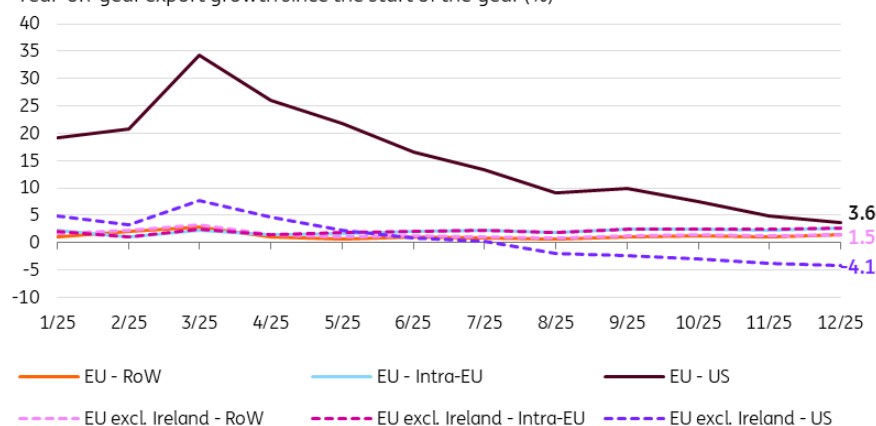
EU exports to the US followed a highly uneven pattern in 2025. Ahead of Liberation Day, exporters rushed shipments across the Atlantic in anticipation of higher tariffs, temporarily boosting exports by up to 35% year-on-year. This front loading effect was particularly pronounced in Ireland, where strong US demand for weight loss related pharmaceutical products largely offset the negative impact of tariffs throughout the year.

Once higher tariffs took effect, however, EU US trade weakened markedly. EU exports to the US, excluding Ireland, fell by 4.1% in 2025, despite exports to the rest of the world increasing by around 1.5% last year. This sharp difference suggests that the tariff shock had a strong negative impact on EU US trade, even if it was temporarily masked by front loading and Ireland specific factors, and broader macroeconomic developments like the strengthening of the euro.

EU exports to the US surged ahead of tariff hikes but fell markedly once higher tariffs took effect

EU export in 2025

Year-on-year export growth since the start of the year (%)



Source: Eurostat Comext, ING Economic Research

Tariff impact in 2025: Uncertainty amplifies the hit, competitiveness cushions the blow

Given these overlapping effects, what was the net impact of US tariffs on EU US trade in 2025? To answer this, we isolate and decompose the impact of US trade policy on EU trade into three channels using a regression framework.

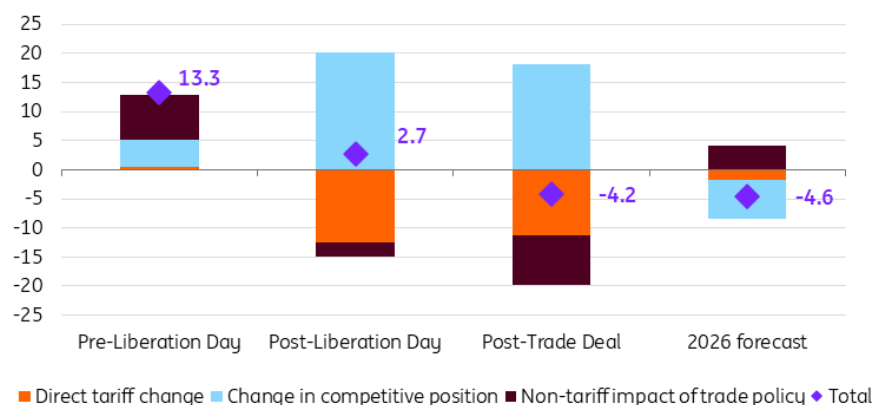
1. The **direct tariff effect** was immediate and sizeable. Following Liberation Day, higher tariffs triggered a strong fall in demand, depressing EU US trade.
2. This negative impact was more than offset by the sharp increase in **tariffs faced by competing suppliers** on the US market, such as China and India. As a result, the EU effectively regained ground relative to the direct tariff shock.
3. Tariffs also affected trade through **non tariff channels**. Heightened uncertainty initially encouraged tariff frontrunning, but later led to postponed investment and exports, as well as lower trade volumes due to rising administrative and compliance burdens.

Taken together, the direct tariff impact, shifts in relative competitiveness and uncertainty related effects point to a net reduction of around 4.2% in EU US exports in 2025. This estimate captures the pure impact of tariffs, abstracting from broader macroeconomic conditions. Yet, it aligns remarkably closely with the observed decline in EU exports to the US once the exceptional surge in Irish exports is excluded.

US tariffs are estimated to reduce EU↔US exports by more than 4% in both 2025 and 2026

Estimated impact of tariff changes in 2025 on European exports to the US

Year-on-year export growth since the start of the year (%)



Source: ING Economic Research Note: The estimated effects of tariff changes are derived from a gravity model of European exports at the sectoral level. The model uses effective US tariff rates and controls for general macroeconomic developments and other policy measures. The 2026 projection assumes the conclusion of a trade agreement between the EU and the US, leading to a slight increase in effectively paid tariffs, whose economic impact is assumed to strengthen gradually over time. At the same time, the projection assumes a decline in non-tariff barriers due to greater policy certainty and the global statutory tariff levels converging towards 15%.

More certainty, higher tariffs ahead

Against this backdrop, the endorsement of the Turnberry deal by the European Parliament marks a clear turning point in EU US trade relations (even if national ratification still has to follow). By ruling out the near term use of tariff coercion instruments, the agreement brings greater clarity and predictability. Fixing tariffs at 15% should reduce trade policy uncertainty and ease non tariff frictions, lowering compliance costs for firms exporting to the United States.

That clarity, however, comes at a price. Locking in a 15% tariff likely implies a higher effective tariff rate than the 8.5% observed in 2025. As a consequence, the EU's relative competitive position is set to weaken in 2026 as Europe's competitors in the US markets, like China, India, and Indonesia, will benefit relatively more from the US Supreme Court's ruling and the rollback of IEEPA related tariffs.

Taken together, higher tariffs and a deteriorating relative competitive position will outweigh the benefits of increased certainty in 2026. Unlike in early 2025, exporters can no longer rely on tariff frontrunning to cushion the impact. Moreover, as firms gradually adjust and substitution possibilities increase, trade responses will intensify. As a result, EU export growth to the US is expected to slow further by around 4.6% in 2026 due to tariffs alone, abstracting from broader macroeconomic developments, even though the underlying drivers differ from those observed in 2025.

Overall, the tariff shock may have been less dramatic than initially feared based on headline

numbers, but its economic damage is already evident and is likely to extend into 2026. Diversifying trade towards partners such as Mercosur and India is both a necessary and welcome policy response, but these markets still fall short of the depth of the US market. This reinforces the importance of strengthening the EU internal market as a key policy priority going forward.

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